

Undertaking to the Australian Competition and
Consumer Commission

Given under section 87B of the *Competition and
Consumer Act 2010* by Novion RE Limited and
Novion Limited

1 Person giving the Undertaking

- 1.1 This Undertaking is given to the Australian Competition and Consumer Commission (**ACCC**) by:
- (a) Novion RE Limited (ABN 33 084 098 180) in its capacity as responsible entity of Novion Trust; and
 - (b) Novion Limited (ABN 79 167 087 363).
- 1.2 In this Undertaking, Novion Limited and Novion RE Limited in its capacity as responsible entity of Novion Trust are together referred to as **Novion**. Federation Limited (ABN 90 114 757 783) and Federation Centres Limited (ABN 88 149 781 322) in its capacity as responsible entity of Federation Centres Trust No. 1 are together referred to as **Federation Centres**. Federation Manager Ltd (ABN 69 051 908 984) is referred to as **Federation Manager**.

2 Background

The Parties to the Proposed Transaction

Federation Centres

- 2.1 Federation Centres owns, develops and manages shopping centres in Australia.
- 2.2 In the South East Melbourne area, Federation Centres indirectly holds
- (a) a 50 per cent interest in Karingal Hub Shopping Centre and a 50 percent interest in Karingal Entertainment Centre (together, Karingal Hub).
- 2.3 The ownership structure for Karingal Hub Shopping Centre is as follows:
- (a) 50 per cent is held directly by Federation Manager Ltd (ABN 69 051 908 984) as the trustee of Karingal Trust No. 1 (ABN 77 236 953 143); and
 - (b) 50 per cent is held directly by ISPT Pty Ltd (ACN 064 041 283) as trustee for the ISPT Karingal Shopping Centre Trust (ABN 14 113 009 273).
- 2.4 The ownership structure of Karingal Entertainment Centre is as follows:
- (a) 50 per cent is held directly by Federation Manager Ltd (ABN 69 051 908 984) as the trustee of and Karingal Trust No. 2 (ABN 17 559 520 826); and
 - (b) 50 per cent is held directly by ISPT Pty Ltd (ACN 064 041 283) as trustee for the ISPT Karingal Shopping Centre Trust (ABN 14 113 009 273).
- 2.5 Karingal Trust No. 1 and Karingal Trust No. 2 are wholly owned by Federation Centres Trust No. 1.
- 2.6 Karingal Hub is located approximately 4.3km from the Frankston CBD and comprises a shopping centre (Karingal Hub Shopping Centre) and a separate entertainment precinct (Karingal Entertainment Centre). Karingal Hub is classified as a sub-regional centre in that it has at least one discount department store (Karingal Hub has two discount department stores), at least one major supermarket (Karingal Hub has two supermarkets) and a range of specialty

shops. Karingal Hub Shopping Centre and Karingal Entertainment Centre are managed together as one centre.

Novion

- 2.7 Novion owns, develops and manages shopping centres in Australia.
- 2.8 In the South East Melbourne area, Novion holds a 100 per cent interest in the Bayside Shopping Centre (**Bayside**).
- 2.9 Bayside is a regional shopping centre situated in the heart of Frankston, approximately 40 km south of Melbourne's CBD. The centre is anchored by Myer, Coles, Target, Safeway, Kmart, Aldi, Rebel Sport, Toys "R" Us, Best & Less, Country Road and Hoyts Cinema, and includes more than 250 specialty stores. Bayside is classified as a regional centre in that it has at least 25,000 square metres (**sqm**) of gross lettable area (**GLA**) and at least one department store or discount department store with a minimum of 10,000 sqm GLA.

The Proposed Transaction

- 2.10 Federation Centres has entered into a Merger Implementation Agreement dated 3 February 2015 with Novion in respect of Federation Centres' proposed acquisition of Novion via a company scheme of arrangement and a trust scheme (the **Proposed Transaction**).
- 2.11 Federation Centres and Novion have sought informal merger clearance from the ACCC.

The ACCC's review

- 2.12 On 4 February 2015, the ACCC commenced its public review of the Proposed Transaction.
- 2.13 The ACCC undertook market inquiries and considered information provided by the parties to the Proposed Transaction, industry participants and others. The purpose of the ACCC's inquiries was to assess whether the Proposed Transaction would have the effect or be likely to have the effect, of substantially lessening competition in a market in contravention of section 50 of the Act.

The ACCC's competition concerns

- 2.14 The ACCC has concluded that, in the absence of the Undertaking, the Proposed Transaction would have the effect, or be likely to have the effect, of substantially lessening competition in relation to the supply of shopping centre amenities to customers (shoppers) in South East Melbourne. The ACCC also had competition concerns about the effect of the proposed transaction in relation to the supply of retail space in shopping centres to retailers in South East Melbourne, as set out below.
- 2.15 The ACCC considered that a starting point for assessing the impact of the Proposed Transaction in particular geographic areas was to assess the level of competition provided by alternative shopping centres within approximately 10 kilometres of any relevant overlap between shopping centres owned by Federation Centres and Novion.
- 2.16 On this basis, the ACCC's review focused on the South East Melbourne geographic region, where it considered that the Bayside shopping centre (owned by Novion) and the Karingal Hub

shopping centre (part owned by Federation Centres), were the only multi-purpose shopping centres of any significant scale within approximately 20km of the Frankston CBD. The ACCC considered that Bayside and Karingal Hub were each other's closest competitors in the supply of shopping centre amenities to customers, and in supplying retail space in shopping centres to retailers, in this geographic region and that the aggregation of these centres could result in anti-competitive effects.

The supply of shopping centre amenities to customers in South East Melbourne

- 2.17 The ACCC was concerned that common ownership of Bayside and Karingal Hub would have the potential to reduce the incentive of the merged entity to expand and develop Bayside and/or Karingal Hub. This was because a portion of the expected gains from any such development for each individual centre, under separate ownership, would have come from attracting customers which would otherwise visit the other centre; under common ownership this would not be regarded as an overall gain to the merged entity. This reduced incentive to expand and develop the two centres had the potential to result in reduced amenities and retail offerings being supplied to shoppers in the region when compared to the position in the absence of the Proposed Transaction.
- 2.18 The ACCC also considered that the merged entity would have had the ability and incentive to operate Bayside and Karingal Hub in a way which maximised total rental yields across the two centres. The ACCC considered that this may have involved selecting a mix of tenants which less directly overlap and compete between the two centres, which could have represented a loss of convenience and potentially price competition for shoppers in the local area.

The supply of retail space in shopping centres to retailers in South East Melbourne

- 2.19 The ACCC was also concerned about the possible future ability of the merged entity to extract higher rents from retailers seeking to lease space in South East Melbourne, particularly retailers relying on comparison shopping such as clothing, footwear, jewellery and gift stores. This is because of the lack of other regional and sub-regional shopping centres in the local area, and the very limited ability of retailers to substitute to other forms of retail space in the local area.

The Undertaking remedy

- 2.20 Novion does not consider that the Proposed Transaction would be likely to substantially lessen competition in the relevant markets. However, as part of Federation Centres' and Novion's request for informal clearance of the Proposed Transaction, and in order to address the ACCC's competition concerns, Novion has, without admission, offered this Undertaking under section 87B of the Act to divest the Bayside Divestiture Property to a purchaser approved by the ACCC, unless notice has been provided to the ACCC that the Karingal Hub Divestiture Property will be divested.
- 2.21 Federation Centres and Federation Manager have given an undertaking to the ACCC pursuant to section 87B requiring that they will divest the Karingal Hub Divestiture Property, unless notice has been provided pursuant to this Undertaking that the Bayside Divestiture Property will be divested.

2.22 The objective of this Undertaking is to address the ACCC's competition concerns as set out above that would otherwise arise as a consequence of the Proposed Transaction. The Undertaking aims to achieve this objective by placing obligations on Novion to:

- (a) ensure that the Bayside Divestiture Property is sold to an Approved Purchaser, if a relevant notice is given under this Undertaking;
- (b) create or strengthen a viable, effective, stand-alone independent and long term competitor for the supply of shopping centre amenities to customers in South East Melbourne;
- (c) ensure the purchaser of the Bayside Divestiture Property has all the necessary associated assets and rights to compete effectively with the merged entity;
- (d) maintain the economic viability, marketability, competitiveness and goodwill of the Bayside Divestiture Property prior to any divestiture; and
- (e) provide for the effective oversight of Novion's compliance with this Undertaking.

3 Commencement of this Undertaking

Commencement

3.1 This Undertaking comes into effect when:

- (a) this Undertaking is executed by Novion; and
- (b) this Undertaking so executed is accepted by the ACCC
(the **Commencement Date**).

4 Ongoing application of Undertaking

- 4.1 A reference in this Undertaking to obligations on Federation Centres and Federation Manager that apply after the establishment of the Control Date are to be read as references to obligations on Federation Centres and Federation Manager within the merged entity.
- 4.2 References in this Undertaking to obligations on Novion that apply after the Control Date are to be read as references to obligations on Novion within the merged entity.

5 Cessation of ongoing obligations

Withdrawal

- 5.1 Novion may request withdrawal of this Undertaking pursuant to section 87B of the Act at any time. This Undertaking is taken to be withdrawn on the date the ACCC consents in writing to that withdrawal.
- 5.2 For completeness, if the Proposed Transaction does not occur, then there will be no Control Date and Novion may make a written request to the ACCC for withdrawal of this Undertaking in accordance with section 87B of the Act.

Revocation

- 5.3 The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

Waiver

- 5.4 The ACCC may, at any time, expressly waive in writing any of the obligations contained in the Undertaking or extend the date by which any such obligation is to be satisfied.

Survival

- 5.5 Unless and until this Undertaking is withdrawn in accordance with clauses 5.1 or 5.2, clauses 1, 2, 3, 4, 5, 10, 12, 13, 14, 15, 16 and 17 survive completion of the obligations in clauses 6, 7, 8, 9, 11 and Schedules 4 and 5.

6 Divestiture of the Bayside Divestiture Property

- 6.1 At least 20 Business Days before the end of the Initial Sale Period, Novion must provide to the ACCC a notice in writing that the Bayside Divestiture Property will be divested, unless by that date, Federation Centres and Federation Manager have provided written notice to the ACCC that the Karingal Hub Divestiture Property will be divested.
- 6.2 If Novion gives notice to divest the Bayside Divestiture Property pursuant to clause 6.1, Novion must, in accordance with this Undertaking, divest, or cause the divestiture of, the Bayside Divestiture Property within the Initial Sale Period.
- 6.3 If Novion gives notice to divest the Bayside Divestiture Property pursuant to clause 6.1, or if the Bayside Divestiture Property is the Unsold Property, Novion must divest, or cause the divestiture of, the Bayside Divestiture Property by:
- (a) disposing of its 100% interest in the Bayside Divestiture Property only to an Approved Purchaser pursuant to the Approved Property Sale Agreement;
 - (b) the transfer or grant to the Approved Purchaser of all Consents pursuant to clauses 6.4 and 6.5;
 - (c) the transfer of any Bayside Transferred Personnel required pursuant to clauses 6.7 and 6.8;
 - (d) compliance with any Approved Transitional Supply Agreement required pursuant to clauses 6.9 to 6.11.

Consents

- 6.4 Novion must:
- (a) obtain or assist the Approved Purchaser to obtain as expeditiously as possible, all Consents as required before completion of the sale of the Bayside Divestiture Property;
 - (b) comply with all requirements necessary to obtain any Consents, including by promptly providing all information necessary for the Consents to be given;

- (c) act in good faith in negotiations with the Approved Purchaser in relation to obtaining any Consents;
 - (d) promptly pay the costs and expenses of any third party reasonably incurred in providing the Consents; and
 - (e) enter an Approved Transitional Supply Agreement with the Approved Purchaser, or vary any existing Approved Transitional Supply Agreement, as required by the Approved Purchaser, in relation to any services that are required for the operation of the Bayside Divestiture Property which may be affected by any failure to gain a Consent.
- 6.5 If, seven Business Days before the expected completion of the sale of the Bayside Divestiture Property, the Approved Purchaser fails to obtain or is unable to obtain one or more Consents, then Novion must:
- (a) immediately provide to the ACCC, in writing details of the:
 - (i) Consents that have not been obtained;
 - (ii) reasons why the Consents have not been obtained; and
 - (iii) information or material required to obtain the Consents.
 - (b) continue to do everything in its power to satisfy clause 6.4 as soon as possible after the completion of the divestiture of the Bayside Divestiture Property (and until such time as clause 6.4 is satisfied).
- 6.6 Even if Novion has complied with clauses 6.4 and 6.5, it remains a breach of this Undertaking if Novion is unable to effect the divestiture of the Bayside Divestiture Property by reason of a failure to obtain Consents.

Transferred Personnel

- 6.7 If Novion gives notice to divest the Bayside Divestiture Property pursuant to clause 6.1 or if the Bayside Divestiture Property is the Unsold Property, at the option of the Approved Purchaser, Novion must transfer to the Approved Purchaser:
- (a) all employees; and
 - (b) all service providers under a contract for service;
- who are, in the view of the Approved Purchaser, required for the Approved Purchaser to maintain, operate or conduct effectively the Bayside Divestiture Property and who consent to the transfer of their employment or contract for service to the Approved Purchaser (**Bayside Transferred Personnel**).
- 6.8 When fulfilling its obligations under clause 6.7, Novion must:
- (a) not directly or indirectly discourage any Bayside Transferred Personnel from any obligations to provide services to the Approved Purchaser;
 - (b) effective on the date of the divestiture of the Bayside Divestiture Property, release the Bayside Transferred Personnel from any obligations to provide services to Novion;

- (c) effective on the date of the divestiture of the Bayside Divestiture Property, release the Bayside Transferred Personnel from any non-compete or similar restraint of trade obligation, to the extent that such an obligation would otherwise prevent the person from performing his or her contemplated role in relation to the Bayside Divestiture Property; and
- (d) not procure, promote or encourage the transfer of any of the Bayside Transferred Personnel from the Approved Purchaser to Novion for a period of six months after the date of completion of the sale of the Bayside Divestiture Property.

Transitional Supply Agreement

- 6.9 If Novion gives notice to divest the Bayside Divestiture Property pursuant to clause 6.1 or if the Bayside Divestiture Property is the Unsold Property, then, at the option of the Approved Purchaser, Novion must ensure the continued supply by Novion to the Approved Purchaser, under an Approved Transitional Supply Agreement, of any services that are required by the Approved Purchaser in order for the Approved Purchaser to be established as a viable, effective, stand-alone, independent and long-term competitor in the supply of shopping centre amenities to customers (shoppers) in South East Melbourne.
- 6.10 Novion must ensure that any Approved Transitional Supply Agreement and any renewal or extension of an Approved Transitional Supply Agreement:
 - (a) is for a reasonable transitional period, to be nominated by the Approved Purchaser and approved in writing by the ACCC;
 - (b) other than in relation to centre management and property management services, provides for the supply of the included services at cost price and is on such terms other than price which are no less favourable to the Approved Purchaser than arm's length terms; and
 - (c) in relation to centre management and property management services, is on such terms which are no less favourable to the Approved Purchaser than arm's length terms.
- 6.11 To avoid doubt, Novion must seek prior written approval from the ACCC of any renewal or extension of an Approved Transitional Supply Agreement. Without limiting the ACCC's discretion, in making a decision on whether to approve a renewal or extension of an Approved Transitional Supply Agreement, the ACCC will have regard to the criteria set out in clauses 6.9 and 6.10.

7 Process for approving a Proposed Purchaser

Provision of a notice for a Proposed Purchaser

- 7.1 To seek ACCC approval for a Proposed Purchaser, Novion must provide the ACCC with a Proposed Purchaser Notice in the form prescribed in Schedule 2 to this Undertaking (**Proposed Purchaser Notice**), including a draft property sale agreement and a draft transitional supply agreement (where required by the Proposed Purchaser).
- 7.2 If Novion gives notice to the ACCC to divest the Bayside Divestiture Property pursuant to clause 6.1, then the Proposed Purchaser Notice must be provided to the ACCC at least 20 Business

Days prior to the end of the Initial Sale Period. Novion may provide the ACCC with more than one Proposed Purchaser Notice.

Proposed Purchaser approval

- 7.3 After receiving a Proposed Purchaser Notice, the ACCC shall have the discretion to approve or reject in writing a Proposed Purchaser identified in the Proposed Purchaser Notice, which includes consideration of:
- (a) the draft property sale agreement attached to the Proposed Purchaser Notice; and
 - (b) any draft transitional supply agreement attached to the Proposed Purchaser Notice.
- 7.4 Without limiting the ACCC's discretion, in making the decision described in clause 7.3, the factors to which the ACCC may have regard include whether the:
- (a) draft property sale agreement is consistent with this Undertaking (or where applicable the Federation Undertaking);
 - (b) Proposed Purchaser will complete the transaction as contemplated by the draft property sale agreement;
 - (c) Proposed Purchaser is independent of, and has no direct or indirect interest in, Federation Centres, Federation Manager or Novion;
 - (d) Proposed Purchaser is of good financial standing;
 - (e) Proposed Purchaser has an intention to maintain and operate the Bayside Divestiture Property as a going concern;
 - (f) Proposed Purchaser is able to manage the Bayside Divestiture Property or intends to appoint a suitably qualified person to manage the Bayside Divestiture Property; and
 - (g) divestiture of the Bayside Divestiture Property to the Proposed Purchaser will address any competition concerns of the ACCC, including in relation to the likely long-term viability and competitiveness of the Bayside Divestiture Property under the ownership of the Proposed Purchaser.
- 7.5 The ACCC may revoke an Approved Purchaser's status as an Approved Purchaser if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

8 Bayside Divestiture Property protection

Protection of the Bayside Divestiture Property

- 8.1 From the Control Date until completion of the sale of the Bayside Divestiture Property or the completion of the sale of the Karingal Hub Divestiture Property (as the case may be), Novion must not:
- (a) sell or transfer its interest in, or any assets comprising part of, or used in, the Bayside Divestiture Property; or
 - (b) make any Material Change to the Bayside Divestiture Property,

except in accordance with this Undertaking or (subject to the terms of this Undertaking) as required to allow completion of the Proposed Transaction.

Novion's obligations in relation to the Bayside Divestiture Property prior to completion of divestiture

- 8.2 Without limiting this clause 8, Novion must, from the Control Date until completion of the divestiture of the Bayside Divestiture Property or the completion of the divestiture of the Karingal Hub Divestiture Property (as the case may be), take all steps available to it to:
- (a) ensure that the Bayside Divestiture Property is managed and operated in the ordinary course of business as a fully operational, competitive going concern and in such a way that preserves the economic viability, marketability, competitiveness and goodwill of the Bayside Divestiture Property as at the Control Date;
 - (b) continue to provide access to working capital and sources of credit for the Bayside Divestiture Property in a manner which is consistent with the financing of the Bayside Divestiture Property before the Control Date;
 - (c) continue to provide administrative support for the Bayside Divestiture Property in a manner which is consistent with the operation of the Bayside Divestiture Property before the Control Date and in accordance with any plans established before the Control Date;
 - (d) ensure that arrangements, agreements or contracts with tenants, licencees other occupants, service providers or other third parties that are in place on the Control Date relating to the Bayside Divestiture Property continue subject to their terms and subject to any Material Change made by Novion to improve the operational efficiency of the Bayside Divestiture Property and, which are substantially and materially consistent with the Approved Management Plans;
 - (e) maintain the supply of those services that are part of the Bayside Divestiture Property to existing tenants, licencees and other occupants in a manner consistent with the supply of those services as at the Control Date;
 - (f) maintain the operational standard and quality of the Bayside Divestiture Property, and of those services that are part of the Bayside Divestiture Property, as at the Control Date; and
 - (g) carry out promotion and marketing of the assets which form part of the Bayside Divestiture Property in accordance with any plans established before the Control Date.

Personnel of Novion

- 8.3 From the Control Date until completion of the sale of the Bayside Divestiture Property or the completion of the sale of the Karingal Hub Divestiture Property (as the case may be), Novion:
- (a) must maintain existing staffing levels at the Bayside Divestiture Property;
 - (b) must not terminate the employment or engagement of any of the Bayside Transferred Personnel unless Novion appoints replacement staff with suitable qualifications and experience;
 - (c) must not directly or indirectly procure, promote or encourage the redeployment of personnel necessary for the operation of the Bayside Divestiture Property as at the Control Date to any other business operated by Novion, Federation Centres, or

Federation Manager unless the Approved Purchaser has already notified Novion or the personnel concerned that it does not wish to employ or retain the personnel in the Bayside Divestiture Business after completion of the divestiture; and

- (d) must not directly or indirectly procure, promote or encourage the Approved Supervising Manager, to be subsequently engaged by any business operated by Novion or Federation Centres or Federation Manager unless the Approved Purchaser has already notified Novion or the Approved Supervising Manager that it does not wish to employ or retain the Approved Supervising Manager in the Bayside Divestiture Business after completion of the divestiture.

- 8.4 As soon as practicable after the Commencement Date, Novion must direct their personnel, including directors, contractors, managers, officers, employees and agents, not to do anything inconsistent with Novion's obligations under this Undertaking.

Day to day management of the Bayside Divestiture Property

- 8.5 Without limiting the obligations in clause 9, from the Control Date until completion of the sale of the Bayside Divestiture Property or the completion of the sale of the Karingal Hub Divestiture Property (as the case may be):
- (a) Novion must ensure that the Bayside Manager manages the Bayside Divestiture Property in the ordinary course of business as a fully operational, competitive going concern and in such a way that preserves the economic viability, marketability, competitiveness and goodwill of the Bayside Divestiture Property at the Control Date, and is otherwise consistent with the Approved Management Plans; and
 - (b) Novion must not interfere with the authority of, or otherwise hinder, the Bayside Manager's ability to carry out its obligations as the manager of the Bayside Divestiture Property.

9 Management of the Bayside Divestiture Property

Obligation to appoint an Approved Supervising Manager

- 9.1 Novion must appoint and maintain an Approved Supervising Manager to supervise the Bayside Manager in the management and operation of the Bayside Divestiture Property, from 10 Business Days after the Control Date until the completion of the sale of the Bayside Divestiture Property or the completion of the sale of the Karingal Hub Divestiture Property (as the case may be) in accordance with this Undertaking.

Process for approving a Proposed Supervising Manager in other circumstances

- 9.2 Novion must provide the ACCC with a Proposed Supervising Manager Notice within five Business Days after the Control Date.
- 9.3 The ACCC shall have the discretion to approve or reject in writing the Proposed Supervising Manager identified in the Proposed Supervising Manager Notice.

- 9.4 Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Supervising Manager, the factors to which the ACCC may have regard include whether the:
- (a) person named in the Proposed Supervising Manager Notice or identified by the ACCC has the qualifications and experience necessary to supervise the management and operation of the Bayside Divestiture Property;
 - (b) subject to clause 9.5, the terms on which the person named in the Proposed Supervising Manager Notice or identified by the ACCC will function as the Approved Supervising Manager are sufficiently independent of Novion;
 - (c) draft terms of appointment are consistent with this Undertaking; and
 - (d) draft terms of appointment are otherwise acceptable to the ACCC.
- 9.5 For the purposes of clause 9.4(b), it will not disqualify the person named in the Proposed Supervising Manager Notice if that person is a current employee or contractor of Novion or a Related Body Corporate of Novion, provided that the role of the person will, during the term of his/her appointment as Approved Supervising Manager, involve only the supervision of the management and operation of the Bayside Divestiture Property by the Bayside Manager, and no other role with Novion, Federation Centres or Federation Manager, beyond his/her current employment and role with Novion or a Related Body Corporate of Novion.

Appointment of the Approved Supervising Manager

- 9.6 After receiving a written notice from the ACCC of its approval of the Proposed Supervising Manager and the draft terms of appointment, Novion must:
- (a) appoint the person approved by the ACCC as the Approved Supervising Manager on the Approved Terms of Appointment; and
 - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

Failure to appoint

- 9.7 If the Approved Supervising Manager has not been appointed pursuant to clause 9.3, or otherwise:
- (a) within 15 Business Days after the Control Date; or
 - (b) within 15 Business Days after the Approved Supervising Manager resigns or otherwise ceases to act as the Approved Supervising Manager pursuant to clauses 9.12, 9.13 or 9.14; or
 - (c) if the ACCC has not received a Proposed Supervising Manager Notice pursuant to clause 9.2;
- then clause 9.8 applies.
- 9.8 If clause 9.7 applies, the ACCC at its absolute discretion may:
- (a) identify and approve a person as the Approved Supervising Manager, including approving the draft terms of appointment of the Approved Supervising Manager; and/or

- (b) direct Novion to appoint a person who the ACCC has deemed is an Approved Supervising Manager.

Obligations and powers of the Approved Supervising Manager

- 9.9 Novion must procure that any terms of appointment for the Approved Supervising Manager include obligations on the Approved Supervising Manager to:
- (a) maintain his or her independence from Novion in the role of Approved Supervising Manager and, subject to clause 9.5, have no other role in Novion;
 - (b) act in the best interests of the Bayside Divestiture Property at all times including ensuring that the Bayside Divestiture Property is managed and operated in the ordinary course of business as a fully operational, competitive going concern and in such a way that preserves the economic viability, marketability, competitiveness and goodwill of the Bayside Divestiture Property at the Control Date consistently with the Approved Management Plans;
 - (c) not use any confidential information gained through the supervision of the management and operation of the Bayside Divestiture Property other than for performing his or her functions as Approved Supervising Manager;
 - (d) make only those Material Changes to the Bayside Divestiture Property which have been approved by the ACCC or which are consistent with the Approved Management Plans;
 - (e) supervise the operation and management of the Bayside Divestiture Property to the maximum extent practicable, in a manner which is consistent with the Approved Management Plans;
 - (f) co-operate with the requests of any Approved Independent Auditor appointed pursuant to this Undertaking;
 - (g) provide the following reports directly to the ACCC:
 - (i) a monthly written report regarding the Bayside Manager's compliance with this Undertaking; and
 - (ii) an immediate report of any issues that arise in relation to Novion's or the Bayside Manager's compliance with this Undertaking; and
 - (h) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Supervising Manager pursuant to this Undertaking.
- 9.10 Novion must procure that any terms of appointment for the Approved Supervising Manager provide the Approved Supervising Manager with the authority to:
- (a) supervise the management and operation of the Bayside Divestiture Property by the Bayside Manager according to the Approved Management Plans until the completion of the divestiture of the Bayside Divestiture Property or the Karingal Divestiture Property (as the case may be);
 - (b) provide any information requested by Novion pursuant to the Approved Management Plans;

- (c) ensure that the Bayside Manager renews or replaces upon expiry Material Contracts for the provision of goods or services to the Bayside Divestiture Property on commercial terms favourable to the Bayside Divestiture Property consistent with the Approved Management Plans;
- (d) authorise or veto any proposal by the Bayside Manager to engage, redeploy or make redundant personnel employed in the Bayside Divestiture Property, having regard to the Approved Management Plans; and
- (e) engage any external expertise, assistance or advice required by the Approved Supervising Manager to perform his or her functions as the Approved Supervising Manager, having regard to the Approved Management Plans.

Novion's obligations in relation to the Approved Supervising Manager

9.11 Without limiting its obligations in this Undertaking, Novion must:

- (a) comply with and enforce the Approved Terms of Appointment of the Approved Supervising Manager;
- (b) maintain and fund the Approved Supervising Manager to carry out his or her functions, including:
 - (i) indemnifying the Approved Supervising Manager for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Supervising Manager of his or her functions as the Approved Supervising Manager except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Supervising Manager; and
 - (ii) providing and paying for any goods or services, external expertise, assistance or advice required by the Approved Supervising Manager (and consistent with the Approved Management Plans) to perform his or her functions as the Approved Supervising Manager; and
- (c) allow the Approved Supervising Manager to carry out his or her obligations as the Approved Supervising Manager, including:
 - (i) accepting (and directing the Bayside Manager and its directors, contractors, managers, officers, employees and agents to accept) direction from the Approved Supervising Manager as to the control, management, financing and operations of the Bayside Divestiture Property in accordance with the Approved Management Plans, and for the Bayside Divestiture Property to meet all legal, corporate, financial, accounting, taxation, audit and regulatory obligations;
 - (ii) providing access to the facilities, sites or operations of the Bayside Divestiture Property required by the Approved Supervising Manager;
 - (iii) providing to the Approved Supervising Manager any information or documents that he or she considers necessary in his or her role, or for reporting to or otherwise advising the ACCC; and

- (iv) not appointing the Approved Supervising Manager, or having any Agreements with the Approved Supervising Manager, other than pre-existing employment or contractor agreements, to utilise the Approved Supervising Manager's services for anything other than compliance with this Undertaking during the period of his/her appointment.

Resignation, revocation or termination of the Approved Supervising Manager

- 9.12 Novion must immediately notify the ACCC in the event that the Approved Supervising Manager resigns or otherwise stops acting as the Approved Supervising Manager before the completion of the divestiture of the Bayside Divestiture Property.
- 9.13 The ACCC may revoke an Approved Supervising Manager's status as the Approved Supervising Manager if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- 9.14 The ACCC may approve any proposal by, or alternatively may direct, Novion to terminate the appointment of the Approved Supervising Manager if in the ACCC's view the Approved Supervising Manager acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.

10 Independent Audit

Obligation to appoint an Approved Independent Auditor

- 10.1 Novion must appoint and maintain an Approved Independent Auditor to audit and report upon Novion's compliance with this Undertaking.

Process for approving a Proposed Independent Auditor

- 10.2 At least 15 Business Days before the Control Date, Novion must provide the ACCC with a notice for a Proposed Independent Auditor in the form prescribed in Schedule 3 to this Undertaking (**Proposed Independent Auditor Notice**), including draft terms of appointment and a draft audit plan.
- 10.3 If clause 10.16, 10.17 or 10.18 applies, Novion must provide the ACCC with a Proposed Independent Auditor Notice within five Business Days after the relevant event occurs, otherwise clause 10.8 applies.
- 10.4 The ACCC shall have the discretion to approve or reject in writing the Proposed Independent Auditor identified in the Proposed Independent Auditor Notice.
- 10.5 Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Independent Auditor, the factors to which the ACCC may have regard include whether the:
 - (a) person named in the Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor;
 - (b) person named in the Proposed Independent Auditor Notice or identified by the ACCC is sufficiently independent of Novion;

- (c) draft terms of appointment and the draft audit plan are consistent with this Undertaking; and
- (d) draft terms of appointment and the draft audit plan are otherwise acceptable to the ACCC.

Appointment of the Approved Independent Auditor

10.6 After receiving a written notice from the ACCC of its approval of a Proposed Independent Auditor, the draft terms of appointment and draft audit plan, Novion must by the Control Date:

- (a) appoint the person approved by the ACCC as the Approved Independent Auditor on the Approved Terms of Appointment; and
- (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

Failure to appoint

10.7 If the Approved Independent Auditor has not been appointed:

- (a) by the Control Date;
- (b) within 15 Business Days after the Approved Independent Auditor resigns or otherwise ceases to act as the Approved Independent Auditor pursuant to clauses 10.16, 10.17 or 10.18; or
- (c) if the ACCC has not received a Proposed Independent Auditor Notice pursuant to clause 10.3;

then the provisions of clause 10.8 apply.

10.8 If clause 10.7 applies, the ACCC at its absolute discretion may:

- (a) identify and approve a person as the Approved Independent Auditor, including approving the draft terms of appointment and draft audit plan; and/or
- (b) direct Novion to appoint a person who the ACCC has deemed is an Approved Independent Auditor.

Obligations and powers of the Approved Independent Auditor

10.9 Novion must procure that any proposed terms of appointment for the Approved Independent Auditor include obligations on the Approved Independent Auditor to:

- (a) maintain his or her independence from Novion, apart from appointment to the role of Approved Independent Auditor, including not form any relationship of the types described in part 2(c) of Schedule 3 to this Undertaking with Novion for the period of his or her appointment;
- (b) conduct compliance auditing according to the Approved Audit Plan;
- (c) provide the following reports directly to the ACCC:
 - (i) a scheduled written Audit Report as described in clause 10.11 and clause 10.12; and

- (ii) an immediate report of any issues that arise in relation to the performance of his or her functions as Approved Independent Auditor or in relation to compliance with this Undertaking by any person named in this Undertaking; and
 - (d) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.
- 10.10 Novion must procure that any proposed terms of appointment for the Approved Independent Auditor provide the Approved Independent Auditor with the authority to:
 - (a) access the facilities, sites or operations of the Bayside Divestiture Property and of Novion's head office as required by the Approved Independent Auditor;
 - (b) access any information or documents that the Approved Independent Auditor considers reasonably necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC; and
 - (c) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.

Compliance Audit

- 10.11 The Approved Independent Auditor must conduct an audit and prepare a detailed report (**Audit Report**) that includes:
 - (a) the Approved Independent Auditor's procedures in conducting the audit, or any change to audit procedures and processes since the previous Audit Report;
 - (b) a full audit of Novion's compliance with this Undertaking;
 - (c) identification of any areas of uncertainty or ambiguity in the Auditor's interpretation of any obligations contained in this Undertaking;
 - (d) all of the reasons for the conclusions reached in the Audit Report;
 - (e) any qualifications made by the Approved Independent Auditor in forming his or her views;
 - (f) any recommendations by the Approved Independent Auditor to improve:
 - (i) the Approved Audit Plan;
 - (ii) the integrity of the auditing process;
 - (iii) Novion's processes or reporting systems in relation to compliance with this Undertaking; and
 - (iv) Novion's compliance with this Undertaking; and
 - (g) the implementation and outcome of any prior recommendations by the Approved Independent Auditor.
- 10.12 The Approved Independent Auditor is to provide an Audit Report to the ACCC and Novion at the following times:
 - (a) within 10 Business Days after the Control Date, at which time the Audit Report is to include the results of the initial audit and any recommended changes to the Approved

Audit Plan, including the Approved Independent Auditor's proposed procedures and processes for conducting the audit (**Establishment Audit**);

- (b) every month from the date of the Establishment Audit until one month after the divestiture of the Bayside Divestiture Property or the Karingal Hub Divestiture Property (as the case may be) is completed;
 - (c) every three months after the date of provision of the last Audit Report pursuant to clause 10.12(b), until the ACCC confirms in writing to Novion that it is satisfied that Novion has fulfilled their obligations pursuant to this Undertaking; and
 - (d) a final report due three months after the last report provided pursuant to clause 10.12(c).
- 10.13 Novion must implement any recommendations made by the Approved Independent Auditor in Audit Reports, and notify the ACCC of the implementation of the recommendations, within 10 Business Days after receiving the Audit Report or such other period as agreed in writing with the ACCC.
- 10.14 Novion must comply with any direction of the ACCC in relation to matters arising from the Audit Report within 10 Business Days after being so directed (or such longer period as agreed with the ACCC).

Novion's obligations in relation to the Approved Independent Auditor

10.15 Without limiting their obligations in this Undertaking, Novion must:

- (a) comply with and enforce the Approved Terms of Appointment for the Approved Independent Auditor;
- (b) maintain and fund the Approved Independent Auditor to carry out his or her functions including:
 - (i) indemnifying the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor;
 - (ii) providing and paying for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor;
- (c) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:
 - (i) directing Novion personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 10;
 - (ii) providing access to the facilities, sites or operations of the Bayside Divestiture Property and the head office of Novion as required by the Approved Independent Auditor;

- (iii) providing to the Approved Independent Auditor any information or documents he or she considers reasonably necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;
- (iv) not requesting any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and
- (v) not appointing the Approved Independent Auditor, or having any agreements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

Resignation or termination of the Approved Independent Auditor

- 10.16 Novion must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved Independent Auditor.
- 10.17 The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- 10.18 The ACCC may approve any proposal by, or alternatively may direct, Novion to terminate the appointment of the Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.

11 Failure to divest the Divestiture Property within the Initial Sale Period

Divestiture of the Unsold Property

- 11.1 If the Bayside Divestiture Property is the Unsold Property, Novion must take all steps to enable Federation Centres to comply with its obligations under clause 11 of the Federation Undertaking.

12 Notification of key dates and ACCC requests for Information

- 12.1 Novion must notify the ACCC and each Undertaking Appointment in writing of:
 - (a) the anticipated date of the Control Date, at least five Business Days before that date;
 - (b) the anticipated date of the completion of the divestiture of the Bayside Divestiture Property, at least five Business Days before that date;
 - (c) the occurrence of the Control Date, within one Business Day of that date; and
 - (d) the occurrence of the completion of the divestiture of the Bayside Divestiture Property, within one Business Day of that date.
- 12.2 The ACCC may direct Novion in respect of its compliance with this Undertaking to, and Novion must:

- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within Novion's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 12.3 Any direction made by the ACCC under clause 12.2 will be notified to Novion, in accordance with clause 17.2.
- 12.4 In respect of Novion's compliance with this Undertaking or an Undertaking Appointment's compliance with their Approved Terms of Appointment, the ACCC may request the Undertaking Appointment to:
 - (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within the Undertaking Appointment's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 12.5 Novion must use its best endeavours to ensure that an Undertaking Appointment complies with any request from the ACCC in accordance with clause 12.4.
- 12.6 Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 12 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.
- 12.7 The ACCC may in its discretion to be exercised in good faith:
 - (a) advise any Undertaking Appointment of any request made by it under this clause 12; and/or
 - (b) provide copies to any Undertaking Appointment of any information furnished, documents and material produced or information given to it under this clause 12.
- 12.8 Nothing in this clause 12 requires the provision of information or documents in respect of which Novion has a claim of legal professional or other privilege.

13 Disclosure of the Undertaking

- 13.1 Novion and the ACCC agree that Schedule 5 will remain confidential until after the completion of the divestiture of the Bayside Divestiture Property, the Karingal Hub Divestiture Property (as the case may be) or the Unsold Business.
- 13.2 Novion acknowledges that the ACCC may provide each Undertaking Appointment, and any approved divestiture agent appointed under the Federation Undertaking, with a copy of this Undertaking which include unredacted versions of Schedule 5.
- 13.3 Novion acknowledges that the ACCC may, subject to clauses 13.1:
 - (a) make this Undertaking publicly available;

- (b) publish this Undertaking on its Public Section 87B Undertakings Register and Public Mergers Register; and
 - (c) from time to time publicly refer to this Undertaking.
- 13.4 Nothing in clause 13.1 or the confidential parts of this Undertaking referred to in clause 13.1 prevents the ACCC from disclosing such information as is:
 - (a) required by law;
 - (b) permitted by section 155AAA of the Act;
 - (c) necessary for the purpose of enforcement action under section 87B of the Act; or
 - (d) necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with this Undertaking.
- 13.5 Nothing in clause 13.1 or the confidential parts of this Undertaking referred to in clause 13.1 prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.
- 14 Obligation to procure**

- 14.1 Where the performance of an obligation under this Undertaking requires a Related Body Corporate of Novion to take or refrain from taking some action, Novion must procure that Related Body Corporate to take or refrain from taking that action.
- 15 No Derogation**

- 15.1 This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by Novion of any term of the Undertaking.
- 15.2 Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that Novion does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.
- 16 Costs**

- 16.1 Novion must pay all of its own costs incurred in relation to this Undertaking.
- 17 Notices**

- Giving Notices**
- 17.1 Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:

Email address: mergers@accc.gov.au
Attention: Executive General Manager
Merger and Authorisation Review Division

With a copy sent to: mergersucu@accc.gov.au
Attention: Director, Undertaking Compliance Unit
Coordination and Strategy Branch
Merger and Authorisation Review Division

17.2 Any notice or communication to Novion pursuant to this Undertaking must be sent to:

Name: Mark Feikema, Novion Property Group
Address: 1341 Dandenong Road, Chadstone VIC 3148
Email Address: Mark.Feikema@novion.com.au
Fax number: +61 3 9936 1593
Attention: Mark Feikema

17.3 If sent by post, notices are taken to be received three Business Days after posting (or seven Business Days after posting if sent to or from a place outside Australia).

17.4 If sent by email, notices are taken to be received at the time shown in the email as the time the email was sent.

Change of contact details

17.5 Novion must notify the ACCC of a change to their contact details within three Business Days.

17.6 Any notice or communication sent to the most recently advised contact details and subject to clause 17.3 and 17.4, will be taken to be received.

18 Defined terms and interpretation

Definitions in the Dictionary

18.1 A term or expression starting with a capital letter:

- (a) which is defined in the Dictionary in Part 1 of Schedule 1 (**Dictionary**), has the meaning given to it in the Dictionary; or
- (b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

Interpretation

18.2 Part 2 of Schedule 1 sets out rules of interpretation for this Undertaking.

Executed as an Undertaking

Executed by Novion RE Limited (ABN 33 084 098 180) pursuant to section 127(1) of the *Corporations Act 2001* by:

Signature of director

Angus McNaughton

Managing Director
Name of director (print)

Date: 20.5.2015

Signature of company secretary

Michelle Tamara Brady

Name of company secretary (print)

Date: 20.5.2015

Executed by Novion Limited (ABN 79 167 087 363) pursuant to section 127(1) of the *Corporations Act 2001* by:

Signature of director

Angus McNaughton

Managing Director
Name of director (print)

Date: 20.5.2015

Signature of company secretary

Michelle Tamara Brady

Name of company secretary (print)

Date: 20.5.2015

Accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the *Competition and Consumer Act 2010* on:

DSSime

And signed on behalf of the Commission:

Date

20 May 2015

Chairman

Date

21 May 2015

Schedule 1

1 Dictionary

ACCC means the Australian Competition and Consumer Commission.

Act means the *Competition and Consumer Act 2010 (Cth)*.

Agreements means any contract, arrangement or understanding, including any contract, arrangement or understanding to renew, amend, vary or extend any contract, arrangement or understanding.

Approved Audit Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking by which the Approved Independent Auditor will audit and report upon compliance with this Undertaking.

Approved Independent Auditor means the person approved by the ACCC and appointed under clause 10 of this Undertaking.

Approved Supervising Manager means the person approved by the ACCC and appointed under clause 9 of this Undertaking.

Approved Management Plans means the annual income and operating expenses budget, strategic asset plan, leasing plan and marketing plan as approved by Novion (as responsible entity of the Novion Trust), on or before the Control Date, relating to the Bayside Divestiture Property for the 2015-2016 Financial Year.

Approved Purchaser means:

- (a) the person approved by the ACCC under clause 7.3 to this Undertaking, or
- (b) a person approved by the ACCC under clause 7 of the Federation Undertaking in relation to the Bayside Divestiture Property if the Bayside Divestiture Property is the Unsold Property.

Approved Property Sale Agreement means the contract for the divestiture of the Bayside Divestiture Property or Unsold Property which has been approved by the ACCC:

- (a) in accordance with the terms of this Undertaking; or
- (b) in accordance with the terms of the Federation Undertaking if the Bayside Divestiture Property is the Unsold Property.

Approved Terms of Appointment means the terms of appointment for the Approved Supervising Manager or Approved Independent Auditor, as applicable, as approved by the ACCC in accordance with the terms of this Undertaking.

Approved Transitional Supply Agreement means any agreement for the supply of services by Novion to the Approved Purchaser, approved by the ACCC in accordance with the terms of this Undertaking.

Associated Entity has the meaning given by section 50AAA of the *Corporations Act 2001 (Cth)*.

Audit Report has the meaning given in clause 10.11 of this Undertaking.

Bayside Divestiture Property means Novion's 100 per cent interest in all assets and interests described in Schedule 4 to this Undertaking.

Bayside Manager is Novion Property Management Pty Ltd (ACN 101 504 045), which is the manager appointed by Novion to manage the Bayside Divestiture Property.

Bayside Transferred Personnel is defined in clause 6.7 of the Undertaking.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in Victoria.

Commencement Date means the date described in clause 3.1 of this Undertaking.

Consents means any Government Consents or Third Party Consents.

Control Date means the date on which the Proposed Transaction is completed.

Corporations Act means the *Corporations Act 2001* (Cth).

Entities Connected has the meaning given by section 64B of the *Corporations Act 2001* (Cth).

Establishment Audit has the meaning given to it in clause 10.12 to this Undertaking.

Federation Centres has the meaning given to it in clause 1.2 to this Undertaking.

Federation Manager has the meaning given to it in clause 1.2 to this Undertaking.

Federation Undertaking means the section 87B undertaking provided by Federation Centres and Federation Manager to the ACCC in relation to the Proposed Transaction.

Government Consents means any consents from any government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approvals or contracts required for the operation of the Bayside Divestiture Property.

Initial Sale Period is defined in Confidential Schedule 5 to this Undertaking.

Karingal Hub Divestiture Property is defined in the Federation Undertaking.

Material Change means any change to the structure, attributes, extent or operations of the Bayside Divestiture Property that may affect, or impact on, the competitiveness of the Bayside Divestiture Property.

Novion has the meaning given to it in clause 1.2 to this Undertaking.

Proposed Independent Auditor means a person named in a Proposed Independent Auditor Notice.

Proposed Independent Auditor Notice has the meaning given to it in clause 10.2 of this Undertaking.

Proposed Supervising Manager means a person named in a Proposed Supervising Manager Notice.

Proposed Supervising Manager Notice means a notice in the form prescribed in Schedule 3 of this Undertaking.

Proposed Purchaser means a person named in a Proposed Purchaser Notice.

Proposed Purchaser Notice has the meaning given to it in clause 7.1 of this Undertaking.

Proposed Transaction is defined in clause 2.10 of this Undertaking.

Public Mergers Register means the ACCC's public register of merger clearances, available at www.accc.gov.au.

Public Section 87B Undertakings Register means the ACCC's public register of section 87B undertakings, available at www.accc.gov.au.

Related Bodies Corporate has the meaning given by section 4A of the Act.

Related Entities has the meaning given by section 9 of the *Corporations Act 2001* (Cth).

Related Parties has the meaning given by section 228 of the *Corporations Act 2001* (Cth).

Third Party Consents means any consents from any entity that is not a government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approvals or contracts required for the operation of the Bayside Divestiture Property.

Undertaking is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the Act.

Undertaking Appointment means the Approved Supervising Manager or the Approved Independent Auditor, as applicable.

Unsold Property has the meaning given in the Federation Undertaking.

2 Interpretation

2.1 In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
- (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
- (e) a reference in this Undertaking to any company includes its Related Bodies Corporate;
- (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
- (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;

- (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
- (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
- (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
- (l) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
- (m) material not forming part of this Undertaking may be considered to:
 - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the ACCC's competition concerns intended to be addressed by the Undertaking and the clause in question; or
 - (ii) determine the meaning of a clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to:
 - (i) the effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
 - (ii) the need to ensure that the result of the Undertaking is to completely address any of the ACCC's competition concerns;
- (o) the ACCC may authorise the ACCC Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (p) in performing its obligations under this Undertaking, Novion will do everything within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking;
- (q) a reference to:
 - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
 - (ii) a party includes its successors and permitted assigns; and

(iii) a monetary amount is in Australian dollars.

Schedule 2 — Proposed Purchaser Notice Form

Please note in relation to information given on or in relation to this form, giving false or misleading information is a serious offence.

The completed form with requested documents attached may be provided to the ACCC using the following method:

Email

Subject line: Proposed Purchaser Notice — [insert name of undertaking]

Address: mergers@accc.gov.au

Attention: Executive General Manager – Mergers and Authorisation Review Division

With an email copy sent to:

Address: mergersucu@acce.gov.au

Attention: Director, Undertaking Compliance Unit Merger Coordination and Strategy Brand, Merger and Authorisation Review Division

1. In relation to the Proposed Purchaser, please provide the following information:
 - (a) Name of the Proposed Purchaser:
 - (b) Address:
 - (c) Contact name:
 - (d) Telephone number:
 - (e) Other contact details:
2. Please attach a submission containing the following information to this form:
 - (a) a description of the business carried on by the Proposed Purchaser including the locations in which the Proposed Purchaser carries on its business;
 - (b) details of the Proposed Purchaser's experience in the relevant market/s;
 - (c) the names of the [owner/s and the directors (delete any that do not apply)] of the Proposed Purchaser;
 - (d) details of any of the following types of relationships between Novion, Federation Centres and Federation Manager, and the Proposed Purchaser, or confirmation that no such relationship exists whether within Australia or outside of Australia:
 - (i) Novion, Federation Centres or Federation Manager and the Proposed Purchaser are Associated Entities;
 - (ii) Novion, Federation Centres or Federation Manager is an Entity Connected with the Proposed Purchaser;
 - (iii) the Proposed Purchaser is an Entity Connected with Novion, Federation Centres or Federation Manager;

- (iv) Novion, Federation Centres or Federation Manager and the Proposed Purchaser are Related Entities;
 - (v) Novion, Federation Centres or Federation Manager and the Proposed Purchaser are Related Parties;
 - (vi) any Related Party, Related Entity or Entity Connected with Novion, Federation Centres or Federation Manager is a Related Party, Related Entity or Entity Connected with the Proposed Purchaser;
 - (vii) Novion, Federation Centres or Federation Manager and the Proposed Purchaser have a contractual relationship or had one within the past three years, other than those attached to this form;
 - (viii) the Proposed Purchaser is a supplier of Novion, Federation Centres or Federation Manager or has been in the past three years;
 - (ix) Novion, Federation Centres or Federation Manager is a supplier of the Proposed Purchaser or has been in the past three years; and
 - (x) any other relationship between Novion, Federation Centres or Federation Manager and the Proposed Purchaser that allows one to affect the business decisions of the other.
- (e) a section addressing the following factors, including any information adverse to the Proposed Purchaser, in the power, possession or control of Novion:
- (i) whether the draft property sale agreement is consistent with this Undertaking;
 - (ii) whether the Proposed Purchaser will complete the transaction as contemplated by the draft property sale agreement;
 - (iii) whether the Proposed Purchaser is of good financial standing;
 - (iv) whether the Proposed Purchaser has an intention to maintain and operate the Bayside Divestiture Property as a going concern;
 - (v) whether the Proposed Purchaser is able to conduct the Bayside Divestiture Property effectively or intends to appoint a suitably qualified person to conduct the Bayside Divestiture Property effectively; and
 - (vi) whether the divestiture of the Bayside Divestiture Property to the Proposed Purchaser will address any competition concerns of the ACCC, including any relationships (including but not limited to shareholding interests, other proprietary interests, contracts, arrangements or understandings) between the Proposed Purchaser and other entities in a relevant market, and the likely long-term viability and competitiveness of the Bayside Divestiture Property under the ownership of the Proposed Purchaser; and
- (f) any other matters that may affect the Proposed Purchaser's capacity or ability to acquire or operate the Bayside Divestiture Property, such as outstanding legal action or disputes.

3. Please also attach to this form:

- (a) the finalised draft of the property sale agreement for approval by the ACCC in accordance with this Undertaking;
- (b) the finalised draft of any transitional supply agreement for approval by the ACCC in accordance with this Undertaking; and
- (c) any documents required to support the information provided by Novion pursuant to this form.

Schedule 3 — Undertaking Appointment

This form sets out the information required by the ACCC in relation to proposed appointment of the following positions under the Undertaking:

- Approved Supervising Manager; or
- Independent Auditor;

(the **Undertaking Appointments**).

This form is to be used for each of the above appointments.

Please note in relation to information given on in relation to this form, giving false or misleading information is a serious offence.

Method of Delivery to the ACCC

The completed Undertaking Appointment form, along with the additional requested information is to be provided to the ACCC with the subject line (*proposed* [only include relevant Undertaking Appointment i.e. Independent Auditor/Approved Supervising Manager] *Form* – [insert name of undertaking] to the below email addresses:

mergers@accc.gov.au

Attention: Executive General Manager

Mergers and Authorisation Division

With an email copy sent to:

mergersucu@accc.gov.au

Attention: Director

Undertaking Compliance Unit

Coordination and Strategy Branch

Mergers and Authorisation Division

Information Required

The ACCC requires the following information in order to assess a proposed Independent Auditor or Approved Supervising Manager (i.e. the relevant Undertaking Appointment).

1. Proposed Undertaking Appointment Details:
 - (a) the name of the Proposed Undertaking Appointment; and
 - (b) the name of the Proposed Undertaking Appointment 's employer, details of the position in which the Undertaking Appointment is currently employed, and contact details including:
 - Address
 - Contact name

- Telephone number
- Other contact details.

2. A submission containing the following information:

- (a) details of the Undertaking Appointment's qualifications and experience relevant to his or her proposed role pursuant to the Undertaking; and
- (b) the names of the [owner/s and the directors (delete any that do not apply)] of [the Undertaking Appointment's employer];
- (c) details of any relationship between Novion, Federation Centres or Federation Manager and the Undertaking Appointment other than an employment relationship as referred to in clause 1(b) above, whether within Australia or outside of Australia.
- (d) details of any of the following types of relationships between Novion and the Undertaking Appointment or the Undertaking Appointment's employer or confirmation that no such relationship exists whether within Australia or outside of Australia:
 - (i) Novion and the Undertaking Appointment's employer are Associated Entities;
 - (ii) Novion is an Entity Connected with the Undertaking Appointment's employer;
 - (iii) The Undertaking Appointment's employer is an Entity Connected with Novion;
 - (iv) Novion and the Undertaking Appointment's employer are Related Entities;
 - (v) Novion and the Undertaking Appointment's employer are Related Parties;
 - (vi) any Related Party, Related Entity or Entity Connected with Novion is a Related Party, Related Entity or Entity Connected with the Undertaking Appointment;
 - (vii) Novion and [the Undertaking Appointment] or the Undertaking Appointment's employer have a contractual relationship or had one within the past three years, other than those attached to this form;
 - (viii) the Undertaking Appointment's employer is a supplier of Novion or has been in the past three years;
 - (ix) Novion is a supplier of the Undertaking Appointment's employer or has been in the past three years and
 - (x) any other relationship between Novion and the Undertaking Appointment or the Undertaking Appointment's employer that allows one to affect the business decisions of the other.

3. A document outlining the terms of appointment of the proposed Undertaking Appointment.

Specific Information required for Undertaking Appointments

The ACCC requires the below information in relation to the relevant Undertaking Appointment.

Proposed Independent Auditor

1. A finalised draft audit plan for the Bayside Divestiture Property, drafted by the Proposed Independent Auditor and outlining (to the extent possible) the Proposed Independent Auditor's plans in regard to the establishment audit and the Audit Report.

Proposed Supervising Manager

1. A copy of the Approved Management Plans.
2. A proposed plan setting out the basis on which the Approved Supervising Manager will work with the Bayside Manager in the effective management of the Bayside Divestiture Property. This plan is to be drafted by the Approved Supervising Manager in consultation with Novion to achieve the objectives of the Undertaking, including:
 - (a) the intended mode of operation of the Bayside Divestiture Property until completion of its divestiture;
 - (b) details of contracts for the provision of goods or services to the Divestiture Business which will expire after the completion of the divestiture of the Divestiture Business to the Approved Purchaser and the actions which will be taken to ensure they are replaced, renewed and/or renegotiated on commercial terms favourable to the Divestiture Business;
 - (c) personnel planning to maintain appropriate personnel levels and ensure that the Bayside Divestiture Property has access to all personnel necessary to operate the Bayside Divestiture Property;
 - (d) any Material Changes to the Bayside Divestiture Property required in order to fulfil Federation Centres', Federation manager's and the Approved Supervising Manager's obligations pursuant to the Undertaking;
 - (e) the cooperation required from the Supervising Manager with Novion and in relation to the divestiture of the Bayside Divestiture Property, including the method by which due diligence information, site visits and personnel interviews by and to prospective purchasers of the Bayside Divestiture Property will be managed.
 - (f) the creation and maintenance of an office or work area in the Bayside Divestiture Property for the Approved Supervising Manager to work from on a day-to-day basis.
 - (g) the proposed daily communication and cooperation arrangements between the Approved Supervising Manager and the Bayside Manager at the Bayside Divestiture Property to ensure the effective management of the Bayside Divestiture Property, consistently with the Approved Management Plans and this Undertaking; and
 - (h) the arrangements and cooperation required from the Approved Supervising Manager by Novion in relation to the divestiture of the Bayside Divestiture Property, including the method by which due diligence information, site visits and personnel interviews by and to prospective purchasers of the Bayside Divestiture Property will be managed.

Schedule 4 – Bayside Divestiture Property

The Bayside Divestiture Property comprises the Bayside Shopping Centre being the whole of the land comprised in the title particulars set out below:

CENTRE / PROPERTY	STREET ADDRESS	TITLE PARTICULARS	
Bayside	Shopping Centre	Volume 10361 Folio 031	Volume 9823 Folio 350
		Volume 10202 Folio 388	Volume 9823 Folio 351
		Volume 10011 Folio 405	Volume 9823 Folio 352
		Volume 10479 Folio 493	Volume 10671 Folio 298
		Volume 9823 Folio 349	
	North of Beach Street Car Park	Volume 5726 Folio 045	
	Corner Fletcher Road & Evelyn Street	Volume 6530 Folio 976	Volume 5625 Folio 988
		Volume 6696 Folio 005	Volume 4738 Folio 488
		Volume 5832 Folio 269	
		Volume 10972 Folio 886	Volume 10972 Folio 887
	2, 4, 6 & 8 Olsen Street, Frankston	Volume 9823 Folio 345	Volume 9823 Folio 347
		Volume 9823 Folio 346	Volume 9823 Folio 348
	11-15 Station Street, Frankston	Volume 11028 Folio 693	
	19A Station Street, Frankston	Volume 9667 Folio 573	
	21 Station Street, Frankston	Volume 10051 Folio 395	
	Air Space	Volume 10931 Folio 050	
Bayside Entertainment Centre	Centre	Volume 10805 Folio 645	

CENTRE / PROPERTY	STREET ADDRESS	TITLE PARTICULARS
	Young Street properties	Volume 6766 Folio 054 Volume 8844 Folio 359 Volume 5072 Folio 306 Volume 9906 Folio 050 Volume 5548 Folio 575
Bayside – Balmoral		Volume 9163 Folio 936

together with all:

- buildings, plant and equipment and other improvements;
- contracts including services agreements;
- permits and licences granted by government agencies and necessary for the ownership and operation of the relevant property;
- agreements for the leasing and/or hiring of plant and equipment;
- records including books, turnover records, plans and drawings;
- tenancy agreements, leases and licences; and
- all ancillary agreements to which Novion (or a related body corporate) is a party or lessee.

Schedule 5 - Confidential